

Insurance Licensing and Contracting

Standard Operating Procedure

Document Reference	SOP-INS-005
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Owner	Distribution & Licensing
Approved By	Chief Distribution Officer
Classification	Internal Use Only
Applicable To	All insurance sales representatives, agents, and brokers appointed by Meridian Insurance Group

1. Purpose

This SOP defines the process for licensing new insurance sales representatives and brokers at the regulatory level, as well as managing renewals, amendments, and terminations of insurance distribution agreements. It ensures that Meridian Insurance Group only distributes products through appropriately licensed and contracted individuals and entities, in full compliance with applicable insurance regulations.

2. Scope

This procedure applies to:

- New agent and broker appointment and licensing applications
- Annual licence renewals and continuing education (CE) compliance tracking
- Licence amendments (e.g., additional product lines, territory changes)
- Voluntary terminations and for-cause terminations of distribution agreements

This procedure does NOT cover: employee licensing for in-house staff (refer HR onboarding SOP), or corporate entity licensing for managing general agents (MGA) above a defined book threshold (refer SOP-INS-015).

3. Roles and Responsibilities

Role	Responsibilities
Insurance Representative (Agent/Broker)	Completes licensing application; provides required documentation; completes pre-appointment compliance training; maintains active licence and CE credits; notifies Meridian of any licence status changes.
Licensing Specialist	Verifies licence status with regulatory authority; prepares and submits appointment filings; tracks renewal calendar; manages compliance records; initiates termination filings.
Document Manager	Maintains appointment and contracting files; ensures all signed agreements are stored in DMS; manages version control of standard contracts.
Compliance Officer	Reviews background check results; approves appointments for candidates with adverse history; monitors ongoing licence standing of active agents.

4. Pre-requisites and Triggers

New appointment: triggered by a completed agent onboarding request submitted by the regional sales manager.
Renewal: triggered automatically by the licensing system 90 days before licence expiry. Termination: triggered by voluntary resignation notification or a compliance/performance escalation.

5. Process Steps

5.1 New Agent Appointment

#	Activity	Responsible	Output / Notes
1	Onboarding request submitted by Regional Sales Manager	Regional Sales Manager	Request includes: candidate details, product lines, territory, and proposed appointment date

#	Activity	Responsible	Output / Notes
2	Licence verification with regulatory authority	Licensing Specialist	Licence status, expiry date, and CE compliance confirmed via regulator portal; result recorded in licensing system
3	Background check initiated	Licensing Specialist / Compliance	Criminal, credit, and industry conduct check; Compliance reviews any adverse findings within 3 business days
4	Pre-appointment compliance training assigned	Licensing Specialist	Mandatory modules: Code of Conduct, Anti-Money Laundering, Product Knowledge assigned via LMS; must be completed before appointment is filed
5	Distribution agreement executed	Document Manager / Representative	Standard distribution agreement prepared; signed by representative and authorised Meridian signatory via DocuSign; filed in DMS
6	Appointment filing submitted to regulator	Licensing Specialist	Filing submitted via regulator's online portal; confirmation number recorded; typical processing: 5–15 business days
7	Appointment confirmed; agent activated in PAS and CRM	Licensing Specialist	Agent record created; product authorities, territory, and commission tier configured; appointment certificate issued to agent

5.2 Licence Renewal

#	Activity	Responsible	Output / Notes
8	Renewal alert triggered 90 days before expiry	Licensing System (auto)	Agent and Licensing Specialist notified by email
9	CE credit verification	Licensing Specialist	Agent's CE transcript reviewed; shortfall notified to agent with required hours and approved providers
10	Renewal application filed with regulator	Licensing Specialist	Filed at least 30 days before expiry; renewal fee paid from Meridian licensing budget
11	Renewal confirmation recorded	Licensing Specialist	New expiry date updated in licensing system and PAS; agent notified

5.3 Termination

#	Activity	Responsible	Output / Notes
12	Termination request initiated (voluntary or for cause)	Regional Sales Manager / Compliance	Reason code recorded; final commission run initiated; any open cases reviewed
13	Distribution agreement terminated	Document Manager	Termination notice executed per agreement terms; copy filed in DMS
14	Termination filing submitted to regulator	Licensing Specialist	Appointment withdrawal filed within 30 days of effective termination date
15	Agent record deactivated in PAS and CRM	Licensing Specialist	System access revoked; policy book transferred to replacement agent

6. Decision Points and Exception Handling

6.1 Adverse Background Check

- Compliance Officer reviews specific findings; minor adverse history may be approved with documented justification
- Material adverse findings (e.g., fraud conviction, prior licence revocation) result in automatic rejection; candidate notified in writing
- All adverse findings and decisions are logged in the Compliance tracking register

6.2 Licence Expiry Without Renewal

- If a licence expires without renewal, the agent's ability to sell is suspended immediately in PAS
- Licensing Specialist initiates reinstatement process; agent must complete any outstanding CE within 30 days
- Sales written during the lapse period are reviewed by Compliance; may be subject to rescission

7. Systems and Tools

System / Tool	Purpose	Access
Licensing System (AgentOS)	Licence tracking, renewal calendar, regulatory filing status	Licensing Specialist
Regulator Portal	Appointment filings, status checks, fee payments	Licensing Specialist
LMS (Cornerstone)	Pre-appointment and CE training assignment and tracking	Licensing Specialist, Representatives
DocuSign	Digital execution of distribution agreements	Document Manager, Representatives
DMS (SharePoint)	Storage of signed agreements, appointment certificates, and compliance records	Document Manager, Compliance
PAS / CRM	Agent record, product authorities, commission configuration	Licensing Specialist

8. Key Performance Indicators

- Appointment processing time: Average 10 business days from completed application to confirmed regulator appointment
- Licence renewal on-time rate: 100% of active licences renewed before expiry date
- Pre-appointment training completion: 100% completion before appointment filing is submitted
- Lapsed licence incidents: Zero agents permitted to sell during a licence lapse period
- Termination filing timeliness: 100% of termination filings submitted to regulator within 30 days of effective date

9. Related Documents

- SOP-INS-008: Agent-Assisted Sales
- SOP-HR-001: Employee Onboarding
- POL-COMP-002: Distribution Compliance Policy
- POL-COMP-005: Anti-Money Laundering and KYC Policy

10. Document Control and Revision History

Version	Date	Author	Summary of Changes
1.0	01 Sep 2021	D. Lim, Licensing	Initial release
1.1	20 Apr 2022	D. Lim, Licensing	Added CE tracking workflow; updated regulator portal steps
1.2	15 Nov 2023	C. Wong, Compliance	Added adverse background check exception; integrated AgentOS system
1.3	30 Jun 2024	C. Wong, Compliance	Expanded termination steps; added for-cause protocol
1.4	01 Feb 2025	C. Wong, Compliance	Aligned to revised DOA; updated DocuSign execution steps